

THE OECD TAX-BENEFIT MODEL FOR PORTUGAL

Description of policy rules for 2019



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Preface

The [OECD Tax-Benefit model \(TaxBEN\)](#) incorporates detailed policy rules for tax liabilities and benefit entitlements as they apply to individual families across OECD member countries. Its main use is to calculate the amount of taxes that people are liable to pay, and the government transfers they are likely to receive, in different family and labour-market situations. The model includes legal policy rules that are relevant for people of **working age** (from 18 years old until the statutory retirement age) and their dependent children. Income tax liabilities and benefit entitlements are calculated for a broad set of *stylised* families (“vignettes”, e.g. a married couple of 40 years old adults with two children aged 4 and 6 respectively). Model users are free to change many of these characteristics, including the age and number of children, activity status of adult members, hours of work, current and past earnings levels, unemployment duration, social contribution records, and housing-related costs. The model has been updated annually since the early 2000s for most OECD countries.

TaxBEN’s policy scope includes the main taxes on employment income (earnings), social contributions paid by individuals and by employers, as well as the main cash and near-cash benefit programmes, including unemployment benefits, family benefits, guaranteed minimum-income benefits, cash housing benefits, and employment-conditional benefits. Disability benefits and support for non-parental childcare are included for a sub-set of countries and years. The most important policy areas that are outside the scope of the model include taxes on wealth (e.g. taxes on immovable and unmovable properties, including local taxes), indirect taxes (e.g. VAT), early-retirement benefits, sickness benefits and in-kind transfers (e.g. free school meals, subsidised transport and free health care).

This report describes the taxes and benefits that are included in the model and focuses on the rules that are relevant for family, individual and labour-market circumstances that are within its scope. The **Annex** provides information on other cash benefits and taxes on employment incomes that can be relevant for some members of the working-age population, but which are not included in the TaxBEN model.

Reading notes and further details on the scope and content of this report

- The **reference date** for policy rules described in this report is **January 1, 2019**.
- **Guidelines for completing and updating this report** are provided [here](#).
- Further information on the model, model results, and references to reports and analytical uses is available on the [project website](#). A [methodology](#) document provides a full description of the assumptions underlying the model as well as the model choices that users can make. The symbol  in the text provides a link to a glossary of technical terms.
- Section titles provide the names of taxes and benefits as they are known in the country: first, direct translation into English, then (in brackets) the name in the national language.
- In order to facilitate transparency between the policy descriptions and the associated code in the model, the variable names are indicated in the text in square brackets using the following format: **[variable name]**, for instance: **[AW]** for the average wage.

The OECD tax-benefit model for Portugal: Policy rules in 2019

1. Reference wages and other reference indicators

Average wage **[AW]**: The OECD tax-benefit model uses Secretariat estimates of the average full-time wage (available [here](#)).¹ If Secretariat estimates are not available yet, the model uses wage projections obtained by applying forecasted wage growth² to the latest available wage estimate.

The minimum wage **[MIN]** in 2019 is EUR 600 per month, but paid 14 times a year including bonus payments in the summer and at Christmas. The annual minimum wage is thus computed by multiplying the minimum monthly wage (as of January 1, 2019) by 14, i.e. EUR 600 * 14 = EUR 8,400.

Many benefit rates and thresholds in Portugal are linked to the *Indexante dos Apoios Sociais* or Social Support Index, which is EUR 435,76 per month in 2019.

2. Unemployment benefits

In Portugal, there is an unemployment insurance benefit for those unemployed who have made sufficient past social security contributions, and an unemployment assistance benefit for those whose past contribution record is insufficient, or whose entitlement to unemployment insurance benefits has expired.

2.1. Unemployment insurance (*Subsídio de desemprego*)

Variable names: **[UI_p; UI_s]**

This is an unemployment insurance benefit. It is contributory, not means-tested and not taxable. 

2.1.1. Eligibility conditions

Age: No age conditions.

Contribution/employment history: The employment and contribution condition for UI eligibility is 360 days of employment (with social security contributions) in the 24 months before unemployment.³

¹ Average Wages are estimated by the Centre for Tax Policy and Administration at the OECD. For more information on methodology see the latest Taxing Wages publication.

² Wage growth projections are based on [OECD Economic Outlook](#) and [EU economic forecasts](#) (for non-OECD countries).

³ For the economically dependent self-employed, conditions are the same as for employees. For other self-employed 720 days consecutive of professional activity with social security contributions in the last 48 months are required. Note, however, that the self-employed are not covered by the TaxBEN model.

Behavioural requirements and related eligibility conditions:  TaxBEN assumes that the conditions that the claimant is capable of and available for work and is registered at the employment office are fulfilled.

Unemployment insurance (UI) is compulsory for employees and some categories of self-employed, such as economically dependent self-employed (receiving 50% or more of earnings from a single firm or firms belonging to the entrepreneurship group). Claimants must be in a situation of involuntary unemployment, that is to say that the end of the work contract is due to:

- Unilateral decision by the employer;
- Work contract expiration (other than at retirement age);
- Resignation with just cause (provided these are not successfully defended by the employer);
- Mutual agreement between the employer and the employee in the case of companies in situations such as a process of structural re-adaptation or recovery or any other situation that allow for collective dismissal of employees;
- For the self-employed, losing the contract with the firm or group of firms responsible for at least 50% of their earnings.

Invalidity pensioners who are considered to be able to work as a result of a re-assessment of their incapability are also regarded as involuntary unemployed individuals.⁴

2.1.2. *Benefit amount*

Calculation base: The average gross salary during the 12 months period ending 2 months before the start of unemployment divided by 360 (30 days per month). This calculation takes into account the annual vacation bonus and the Christmas bonus due during this period.

Benefit amount: 65% of the calculation base, up to a maximum of 2.5 times the IAS (*Indexante dos Apoios Sociais* or Social Support Index, EUR 435,76 per month in 2019). The benefit amount also cannot exceed 75% of the claimant's previous *net* earnings (that is, after income tax and social security contributions). The minimum benefit amount is the IAS, or the calculation base if it is lower.

2.1.3. *Benefit duration*

Benefit duration increases with age and contributory record since the last unemployment spell according to the following table (but note that duration is longer for those who had acquired rights to a longer duration before 31 March 2012):

Age	Contributory career	Duration (days)	Extended duration
<30	≤15 months	150	30 days for each group of
	≥15 and <24 months	210	5 years of contributory
	≥24 months	330	record in the last 20 years
30 – 39	≤15 months	180	

⁴ Note however that this situation is not covered by the TaxBEN model.

	≥ 15 and < 24 months	330	30 days for each group of 5 years of contributory record in the last 20 years
	≥ 24 months	420	
40 – 49	≤ 15 months	210	45 days for each group of 5 years of contributory record in the last 20 years
	≥ 15 and < 24 months	360	
	≥ 24 months	540	
≥ 50	≤ 15 months	270	60 days for each group of 5 years of contributory record in the last 20 years
	≥ 15 and < 24 months	480	
	≥ 24 months	540	

If the individual does not use the extended duration that they are entitled to, because they resume work earlier, this unused entitlement may be taken into consideration when calculating benefit duration during the next unemployment spell.

There is a grandfathering safeguard clause which means that individuals who had already fulfilled the eligibility condition by 31 March 2012 keep the entitlement to the previous UI duration schedule as shown in the following table for their first unemployment spell. This grandfathered entitlement is not taken into account in the TaxBEN model.

Age	Contributory career	Duration (days)	Extended duration
< 30	≤ 24 months	270	-
	> 24 months	360	30 days for each group of 5 years of contributory record in the last 20 years
30 – 39	≤ 48 months	360	-
	> 48 months	540	30 days for each group of 5 years of contributory record in the last 20 years
40 – 44	≤ 60 months	540	-
	> 60 months	720	30 days for each group of 5 years of contributory record in the last 20 years
≥ 45	≤ 72 months	720	-
	> 72 months	900	60 days for each group of 5 years of contributory record in the last 20 years

2.1.4. Means test

The benefit is not means-tested, but there are special rules concerning combining benefit receipt and earnings from work (see Section 2.1.7 below).

2.1.5. Tax treatment

The benefit is not taxable.

2.1.6. Interactions with other components of the tax-benefit system

It is not possible to receive unemployment insurance and unemployment assistance benefits simultaneously. It is possible to receive unemployment insurance and social assistance simultaneously, but unemployment insurance benefits are included in the income definition for the social assistance means test. Unemployment insurance benefits are also included in the income definition for the means test for family benefits.

Unemployment insurance benefits cannot be accumulated with pensions with the exception of pensions for occupational risks.

Unemployment insurance benefit is suspended if the claimant is entitled to maternity, parental or adoption benefits.

2.1.7. Combining benefit receipt and employment/starting a new job

Unemployment insurance benefits may be accumulated with part-time work⁵ or self-employment if the earnings from work are less than the benefit amount.⁶ In this situation, the UI benefit is equal to the difference between 1.35 times the unemployment benefit and the earnings from part-time work or self-employment.

However, if 1.35 times the unemployment benefit is less than the minimum guaranteed salary plus total earnings (earnings from work or self-employment) and the partial unemployment insurance benefit is also less than the minimum guaranteed salary, the full amount of unemployment insurance benefit is retained.

In certain cases, an unemployed worker who accepts a job offer with earnings lower than their unemployment benefits is entitled to the following benefits that encourage the acceptance of the work position including:

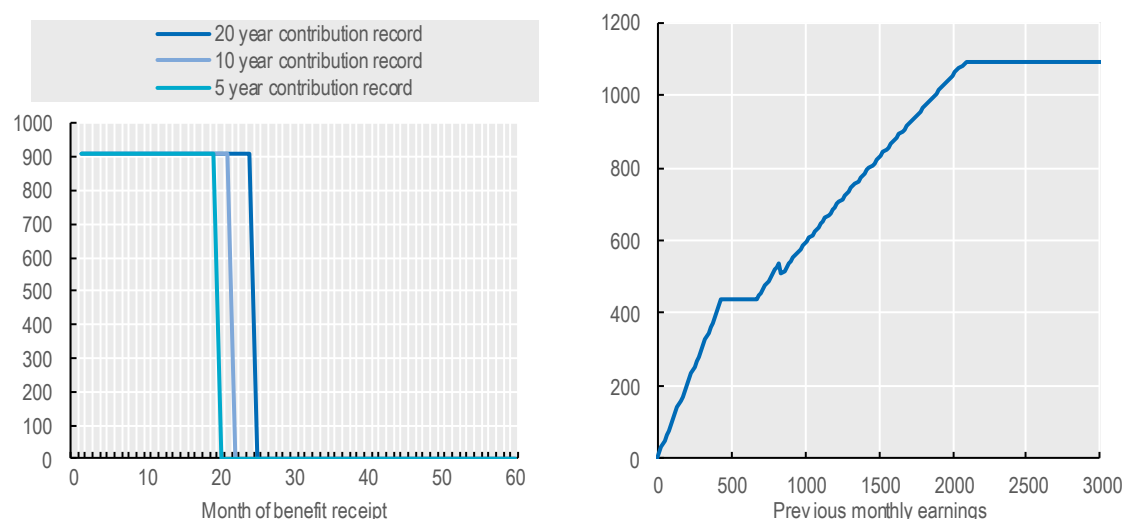
- Financial support equivalent to 50% of unemployment benefits during the first six months, in compliance with certain limits;
- Financial support equivalent to 25% of unemployment benefits in the following six months, in compliance with certain limits;

The maximum duration of this policy of accumulation is 12 months, and it is only available until the end of the UI entitlement period.

⁵ That is, normal weekly working hours are shorter than full-time work in a “comparable” situation.

⁶ The employer must pay the wages set under the collective bargaining agreement.

Figure 1. Unemployment insurance benefit entitlement by contribution record and previous earnings



Note: Claimant is 40 years old in each case. In left hand panel, previous earnings at the Average Wage. All figures in EUR per month.

Source: Calculations using OECD tax-benefit model.

2.2. Unemployment Social Allowance (*Subsídio Social de Desemprego*)

Variable name: **[UA]**

This benefit is contributory, means-tested and not taxable. 

2.2.1. Eligibility conditions

Age: No age conditions.

Contribution/employment history: The employment and contribution condition for Unemployment Social Allowance (USA) eligibility is 180 days of employment (with social security contributions) in the year before unemployment. The claimant must be completely unemployed (i.e. not engaged in any paid work) at the point of making the claim.

Behavioural requirements and related eligibility conditions:  TaxBEN assumes that the conditions that the claimant is capable of and available for work and is registered at the employment office are fulfilled.

USA entitlement is dependent on several conditions including unemployment being involuntary and sustained, residence in the national territory and compliance with the means test. The job-search conditions for becoming and remaining entitled to USA are similar to the ones applied for UI (see Section 2.1.1 above).

2.2.2. Benefit amount

Calculation base: The benefit amount is based on the Social Support Index or IAS, which was EUR 435,76 per month in 2019.

Benefit amount: The amount for a household is based on the IAS. It is 80% of the IAS for a single-person household, and 100% of the IAS for a household of two or more.

2.2.3. *Benefit duration*

For those who are not entitled to UI, the duration is the same as for UI as described in Section 2.1.3. For who had previously been entitled to UI, the duration is half their UI duration (see Section 2.1.3 for details). An extraordinary measure introduced in 2016 and maintained in the following years allows long-term unemployed persons who have already exhausted their regular UA entitlement and who have subsequently been without any unemployment benefit for 180 days, to be entitled to a benefit equal to 80% of the regular USA amount, for a period of 180 days, provided they continue to fulfil the eligibility conditions.

For those aged 52 or over when they became unemployed, USA may be renewed until an early retirement pension can be claimed at the age of 57, provided that the claimant continues to meet the eligibility criteria for UA. (Note that as the TaxBEN model does not include early retirement pensions, it cannot be used to simulate the situation of an unemployed person aged over 57 in Portugal).

2.2.4. *Means test*

The USA is a means-tested benefit: the household's monthly income per capita must be less than 80% of the IAS. The monthly income per capita is calculated by dividing total household reference income by the household's OECD equivalence scale (that is, where the first adult is given a weight of 1, other adults a weight of 0.7 and children a weight 0.5). Reference income includes gross earnings plus income from capital including bank interest and dividend income. Furthermore, 5% of the nominal value of financial assets is also considered as income. If the household own financial assets (bank accounts, shares, investment funds, etc.) worth more than EUR 104 582,40 (240 times the value of the IAS) there is no USA entitlement.

If the household owns real estate, this asset is also taken into account in the means test. The value of the household's primary residence is not taken into account if it is less than EUR 196,092 (450 times the IAS). However, if the tax valuation of the primary residence is above that threshold, 5% of the excess is counted as income. For subsequent properties, the larger of rental income and 5% of the tax valuation is counted as income for the purposes of the means test. Note, however, that the TaxBEN model does not take these provisions relating to unearned income and capital into account: it assumes that the household has no financial assets, and that if the household owns their own home, its value is less than the threshold mentioned above.

2.2.5. *Tax treatment*

Not taxable.

2.2.6. *Interactions with other components of the tax-benefit system*

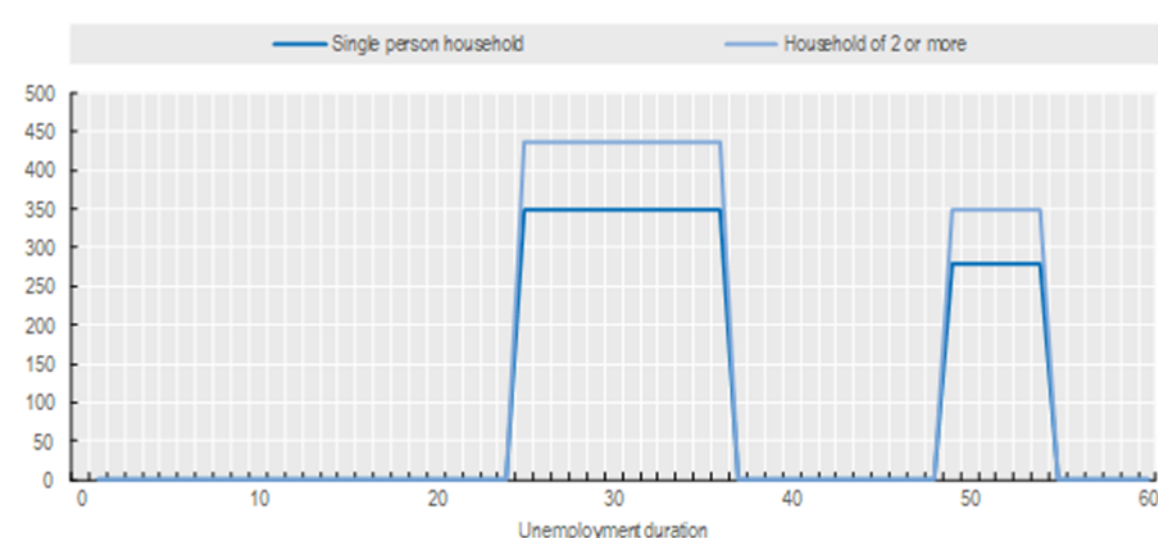
It is not possible to receive unemployment insurance and USA benefits simultaneously. It is possible to receive USA and social assistance simultaneously, but unemployment assistance is included in the income definition for the social assistance means test. Unemployment assistance is also included in the income definition for the means test for family benefits.

Unemployment assistance cannot be accumulated with pensions with the exception of pensions for occupational risks.

2.2.7. Combining benefit receipt and employment/starting a new job

The claimant of USA must be fully unemployed: if they start work for a period of less than 3 years, the claim is suspended, and it is terminated after 3 or more consecutive years of paid work. The claimant's spouse may work, but any earnings from work are taken into account in the means test as described in Section 2.2.4.

Figure 2. Unemployment assistance benefit entitlement by unemployment duration



Note: In all cases, claimant is aged 40 and has a 20 year social security contribution record. All figures in EUR per month.

Source: Calculations using OECD tax-benefit model.

3. Social assistance and housing benefits

3.1. Social Insertion Income (*Rendimento Social de Inserção*)

Variable name: **[SA]**

This is a non-contributory benefit, means-tested and not taxable.

The Social Insertion Income (SII) supports individuals or families in situations of great economic need. The Social Insertion Income (SII) is both a cash benefit and an activation programme that provides both basic needs and encourages insertion into the labour market, community and society through the provision of an insertion contract with several actions adapted to the members of the household.

3.1.1. Eligibility conditions

Age: At least 18 years of age; unless the claimant has a monthly income above 70% of SII, dependent children (whose monthly income does not exceed 70% of SII), is pregnant or married or has had a partner for more than 2 years.

To be entitled to the benefit, legal residency in Portugal is required and the household must agree to and fulfil the conditions of an Insertion Programme (that includes availability for work, training or any adequate measure for insertion), being registered at the employment

centre when unemployed and capable for work. The family must also fulfil the conditions of the means test (see Section 3.1.4 below).

If an individual becomes voluntarily unemployed they can only claim the Social Insertion Income entitlement after one year of unemployment.

3.1.2. *Benefit amount*

The benefit maximum amount and eligibility threshold are indexed to the IAS multiplied by an indexation factor, which in 2019 is 43.525 %. The basic benefit amount in 2019 is thus EUR 189.66 per month. The maximum benefit amount is 100% of this amount for the first adult, plus 70% of this amount for each additional adult in the household, plus 50% of this amount for each child in the household.

3.1.3. *Benefit duration*

Subject to annual renewal, but can be renewed indefinitely (as long as entitlement conditions are met).

3.1.4. *Means test*

The benefit amount is reduced by total household income. For SII purposes, the household income measure is the sum of all income sources in the month previous (or the average of the previous 3 months in the case of independent workers or workers with variable wages), excluding family benefits. However, only 80% of labour income after social security contributions (but not income tax) is taken into account. The household income measure thus includes,

- earnings net of social security contributions, but not income tax,
- gross income from capital,
- gross property income,
- pension income,
- income from social benefits (except family benefits and disability and long-term care benefits),
- regular housing benefits,
- monthly grants, if included in the exercise of occupational activities of social interest related to employment programmes

If the household benefits from social housing, the household income is increased by:

- EUR 15.45 during the first year of SII;
- EUR 30.91 on the first annual renewal of SII ;
- EUR 46.36 from the second annual renewal onwards.

If the household owns real estate, these assets are also considered in the means test. The household's primary residence is not considered if it is worth less than EUR 193,005 (450 times the IAS). If the tax valuation of the primary residence is above this threshold, 5% of the difference is taken into account. For other properties, the larger of rental income and 5% of the tax valuation of the property is included as income in the means test.

The reference income includes capital income, including bank interest and dividends. 5% of the value of financial assets is also added to the income measure. If the household owns financial assets worth more than EUR 25,734 (60 times the value of the IAS) there is no entitlement to SII.

Note, however, that the TaxBEN model does not take these provisions relating to unearned income and capital into account: it assumes that the household has no financial assets, and that if the household owns their own home, its value is less than the threshold mentioned above.

3.1.5. Tax treatment

The benefit is not taxable.

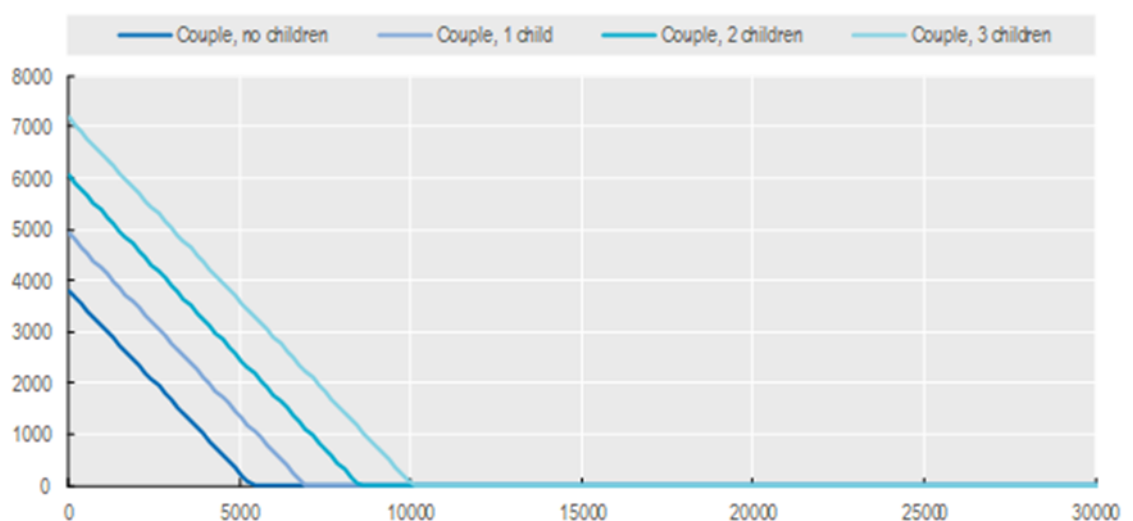
3.1.6. Interaction with other components of the tax-benefit system

Claimants of unemployment benefits can also receive SII, but income from these benefits is included in the income measure for the SII means test. Claimants of SII can also receive family benefits, but SII is included in the income definition for the means test for family benefits.

3.1.7. Combining benefit receipt and employment/starting a new job

It is possible to work while claiming SII benefits, but 80% of earnings from work (net of social security contributions but not income taxes) is considered for calculation of the benefit amount. For the first 12 months (consecutive or not) after returning to employment, this proportion is reduced to 50%.

Figure 3. Social assistance benefit entitlement by gross earnings



Note: All figures in EUR per year. One child family has a child aged 4, two child family also has a child aged 6 and three child family also has a child aged 8.

Source: Calculations using OECD tax-benefit model.

4. Family benefits

4.1. *Family benefit* (*Abono de Família para Crianças e Jovens*)

Variable name: **[FB]**

This is a non-contributory benefit; it is means-tested but is not taxable.

4.1.1. *Eligibility conditions*

Benefits are provided to families with children under the age of 16 or up to 24 if the child is disabled or in full time education; Access to benefits also depends on the children residing (or having an equivalent status) in Portugal and not working (except during school holidays). The family must also satisfy a means test (see Section 4.1.4 below).

4.1.2. *Benefit amount*

The family allowance is paid on a monthly basis. An additional monthly amount is payable in September to families in the first income bracket to compensate for the costs of education if the children are aged between 6 and 16 years and are enrolled in school.

Children aged between 12 months and 36 months (inclusive) are entitled to a higher amount of Family Allowance if they live in a family with at least two children. Monthly amounts also vary by income band, defined in relation to the IAS (for more details, see Section 4.1.4 below).

Lone-parent families are entitled to an increase of 35% in the family allowance.

The monthly per-child amounts are as follows:

Couple family		< 0.5 IAS	0.5-1 IAS	1-1.5 IAS	1.5-2.5 IAS	>2.5 IAS
Each child < 12 months		EUR 148,32	EUR 122,43	EUR 96,32	EUR 38,31	EUR 0
Each child between 12 and 36 months	Families with 1 child	EUR 110,77	EUR 91,43	EUR 73,12		
	Families with 2 children	EUR 147,85	EUR 122,04	EUR 100,83		
	Families with 3 or more children	EUR 184,93	EUR 152,65	EUR 128,54		
Each child >36 months		EUR 37,08	EUR 30,61	EUR 27,71	EUR 0	
Lone-parent family		< 0.5 IAS	0.5-1 IAS	1-1.5 IAS	1.5-2.5 IAS	>2.5 IAS
Each child < 12 months		EUR 200,23	EUR 165,28	EUR 130,03	EUR 51,72	EUR 0
Each child between 12 and 36 months	Families with 1 child	EUR 149,54	EUR 123,43	EUR 98,71		
	Families with 2 children	EUR 199,60	EUR 164,75	EUR 136,12		
	Families with 3 or more children	EUR 249,66	EUR 206,08	EUR 173,53		
Each child >36 months		EUR 50,06	EUR 41,32	EUR 37,41	EUR 0	

Family benefits also include a prenatal family allowance (granted to pregnant women for compensation for increased expenses), which is paid up to the 3rd income bracket, consisting of the same amounts as the family allowances for children up to 12 months for couple and lone-parent families. This situation is not simulated in the TaxBEN model.

The family allowance may be increased if the child is handicapped (though note that this situation is not simulated by the TaxBEN model). The amount added to the family allowance varies according to the age of the child. If the handicapped child lives in a lone-parent family, these amounts are increased by 35%. They are paid on a monthly basis as follows:

Additional monthly amounts for disabled children

Handicapped child	Couple families	Lone parent families
Until 14 years of age	EUR 62,37	EUR 84,20
From 14 until 18 years of age	EUR 90,84	EUR 122,63
From 18 to 24 years of age	EUR 121,60	EUR 164,16

4.1.3. Benefit duration

As long as the eligibility conditions hold.

4.1.4. Means test

The benefit amount depends on the family's reference income. The reference income comprises the sum of all income from each member of the household divided by the number

of children of that household that benefit from the family allowance plus 1. The value calculated is then compared to the IAS. The following sources of income are considered:

- Gross earnings (except earnings of young people working during school holidays);
- Professional and business income;
- Capital income (e.g. bank interest and dividends);
- Land and real estate income;
- Pensions;
- Alimony;
- Any other social benefits (except disability and long term care benefits);
- Regular housing benefits.

For the self-employed, earnings are calculated as 75% of services provided plus 20% of the value of product sales.

As well as capital income, 5% of the value of financial assets is also considered as income. Moreover, if the household owns assets (bank accounts, shares, investment funds, etc.) worth more than 240 times the value of the IAS there is no entitlement to family benefits.

If the household benefits from social housing, then the difference between the technical price and the supported rent price is also considered as income. In this case, household income is increased by:

- EUR 15.45 in the first year;
- EUR 30.91 from the first annual renewal;
- EUR 46.36 from the second annual renewal onwards.

If the household owns real estate, these assets are also considered in the reference income. The household's primary residence is not considered if it is worth less than 450 times the IAS. If the tax evaluation of the own house is above this threshold, 5% of the difference is counted as income. For other properties, the larger of rental income and 5% of tax valuation is counted as reference income. (Note, however, that the TaxBEN model does not take these provisions relating to unearned income and capital into account: it assumes that the household has no financial assets, and that if the household owns their own home, its value is less than the threshold mentioned above.)

This total income is then divided by the number of children in the family, plus one. Families are then put into one of five income levels depending on how the result of this calculation compares to the IAS:

- Level 1: Families whose reference income is under 50 per cent of 14 times the reference value (i.e. under EUR 3 050,32 per year);
- Level 2: Families whose reference income is over 50 per cent and under 100 per cent of 14 times the reference value (i.e. over EUR 3 050,32 and under EUR 6 100,64 per year);
- Level 3: Families whose reference income is over 100 per cent and under 150 per cent of 14 times the reference value (i.e. over EUR 6 100,64 and under EUR 9 150,96 per year);

- Level 4: Families whose reference income is over 150 per cent and under 250 per cent of 14 times the reference value (i.e. over EUR 9 150,96 and under EUR 15 261,60 per year);
- Level 5: Families whose reference income is over 250 per cent of 14 times the reference value (i.e. over EUR 15 261,60 per year).

4.1.5. Tax treatment

The benefit is not taxable.

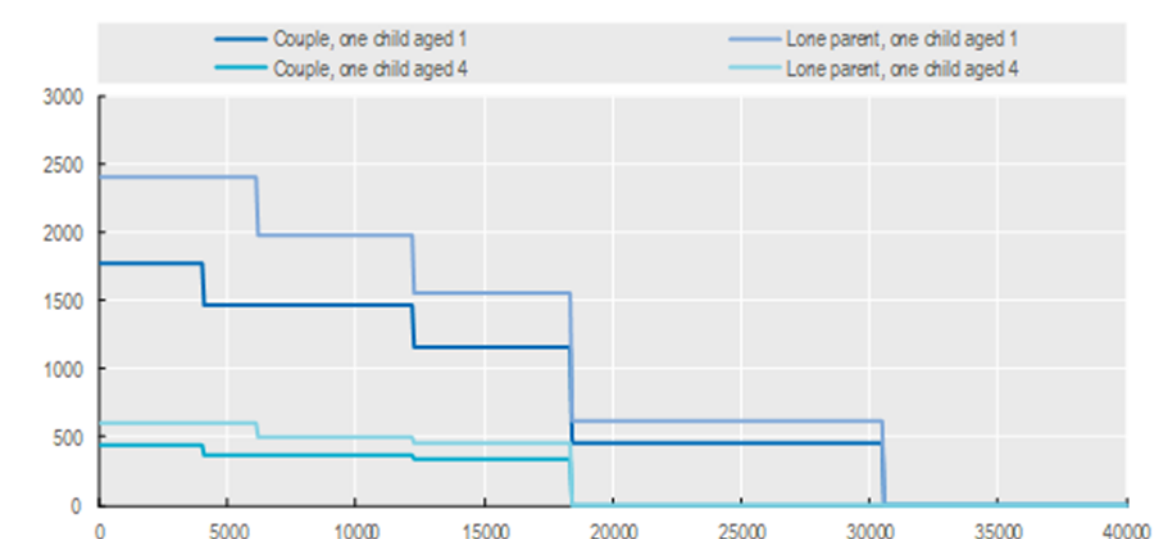
4.1.6. Interaction with other components of the tax-benefit system

The benefit can be received together with any other benefit.

4.1.7. Combining benefit receipt and employment/starting a new job

It is possible to combine benefit receipt and employment, but earnings are taken into account in the means test (see Section 4.1.4).

Figure 4. Family benefit entitlement by gross earnings



Note: All figures in EUR per year. Families are assumed to take up any social assistance benefit entitlement.

Source: Calculations using OECD tax-benefit model.

5. Net costs of Early Childhood Education and Care

Dear Country Expert,

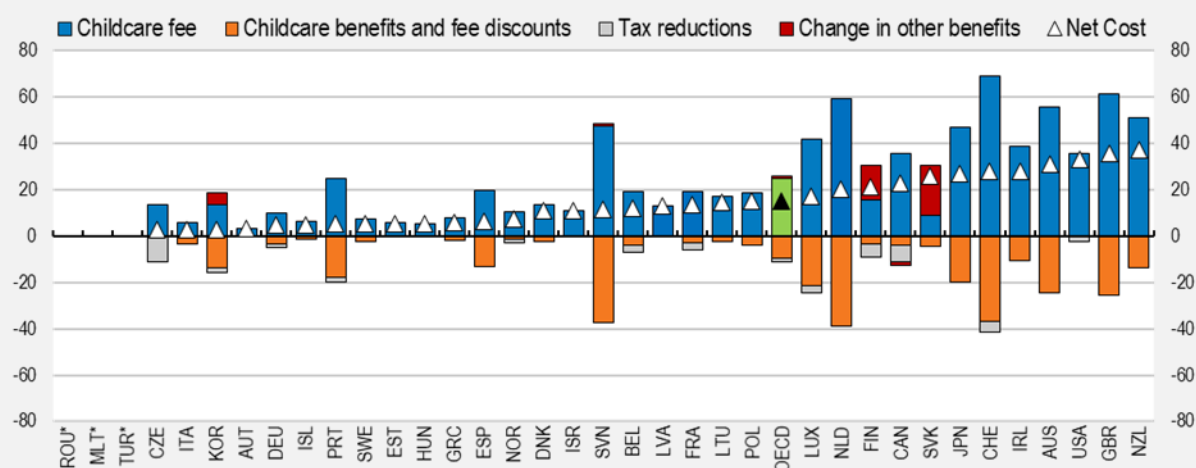
As part of an upcoming policy brief on childcare support for parents of young children, this year we are undertaking a thorough review of the information used to calculate the Net Childcare Cost (NCC) indicator in each country (Figure B.1 shows an example based on the information you provided recently).

Our goal is to verify whether the information needed to calculate the NCC indicator is fully in line with the methodology underlying the OECD tax-benefit model. This is important to ensure a fair cross-country comparison and a good representation of childcare policies in your country.

For this reason, we would be very grateful if you could find the time to read this short [methodology document](#) and make sure that the information provided in this Section is fully consistent with these guidelines. We thank you in advance for your co-operation and we remain at your disposal if you have any questions about the content of the methodology document.

Figure B.1. Net childcare costs for full-time care at a typical childcare centre

% of the net household income, 2018



Note: The net childcare costs indicator measures the out-of-pocket amount that parents pay for a year of childcare in a representative childcare centre. Results in the figure are for a two-earner couple with two children aged 2 and 3 respectively. The first earner earns 100% of the average wage and the partner earns 67% of the average wage. Data refer to 2018 policies.

Information on net childcare costs is currently missing for Malta, Romania and Turkey. Data for Israel was not ready to use at the time of preparing this graph.

Source: OECD Tax-Benefit Model.

The methodology document also gives instructions on whether to provide fee information based on **national or local rules**, or whether to provide **average childcare fees** calculated from survey or administrative data. We would be extremely grateful for your additions based on the above, and answers to the comments below, which highlight where the information is insufficient to calculate the NCC indicator effectively.

If you have any questions please do not hesitate to contact us.

With our best wishes,

The OECD TaxBEN Team

The **reference date** for the policy rules described in this section is **January 1, 2019**.

In Portugal, children under the age of 3 years may attend crèches while three to six year-olds may attend pre-schools.

The majority of under 3 year-olds (78.7% in 2016) attend crèches run by non-profit organisations that receive public subsidies, while 17.5% attend private, self-financing centres. In order to receive public subsidies, providers have to enter into a cooperation agreement with the national government that regulates the fees institutions may charge

parents, outlined in Section 5.2.3 below. In the TaxBEN model, the case of a centre run by a non-profit organisation that has a Cooperation Agreement is simulated.

The majority (52.4% in 2016) of 3-6 year-olds attend public pre-schools that are free of charge for parents.⁷ The TaxBen model assumes that children aged 3-6 attend public pre-schools (and hence their parents do not incur any fees for their care).

5.1. Gross childcare fees

Variable name: `[PTcc_cost]`

The maximum family fee cannot be higher than the real average cost (including administration expenses) per user of the service in question. The estimate of the real average cost amounted to around EUR 345 per month in 2009.

5.1.1. Discounts for part-time usage (not modelled)

None.

5.2. Fee discounts and free provision

Variable name: `[cc_subsidy]`

The family fee is determined through a percentage over the per capita income of the household. The percentage itself varies by household income.

5.2.1. Eligibility

All households for whom the assessed family fee is less than the actual cost benefit from this subsidised provision.

5.2.2. Amount of discount or free provision

See Section 5.2.3 below.

5.2.3. Variation by income

The percentage of per capita income varies by income tier (defined below) and type of institution as shown in the following table:⁸

⁷ 30.7% attend centres run by non-profits attracting public funding, and 17% attend private, self-financing centres.

⁸ Note that the TaxBEN model considers the case of a crèche, the case highlighted in the table.

Services and equipment	Income tiers					
	1st	2nd	3rd	4th	5th	6th
Crèche, childminder and family crèches	15%	22.5%	27.5%	30%	32.5%	35%
ATL (Free-Time Activity Centres) – without meals	5%	7%	10%	12.5%	15%	15%
ATL (Free-Time Activity Centres) – with meals	12.5%	15%	17.5%	20%	22.5%	22.5%
Children's Home	40%	45%	50%	50%	55%	75%

However, the maximum family fee calculated according to these rules cannot be higher than the real average cost (including administration expenses) per user of the service in question, as discussed in Section 5.1.1 above.

The calculation of the per capita income, R, is made according to the following formula:

$R = (RF - D) / N$, where

RF = gross monthly household income (sum of all annual household income/12). The holiday and Christmas subsidies (i.e. the 2 extra monthly wages that each Portuguese worker usually receives during a year of work) are not considered as part of the “gross monthly household income” for this purpose.

D = fixed expenses (these include tax, social contributions, house rent or mortgage payment, average monthly cost related to public transportation, medicine expenses when related to chronic illnesses). In the TaxBEN model, only rent is included in these expenses – all other expenses are assumed to be zero.

N = number of individuals of the household

The per capita income is then divided by the National Minimum Wage (NMW, EUR 600 per month for 2019). The payment tier depends on this percentage calculation as follows:

1st tier	Less than 30% of NMW
2nd tier	Between 30% and 50% of NMW
3rd tier	Between 50% and 70% of NMW
4th tier	Between 70% and 100% of NMW
5th tier	Between 100% and 150% of NMW
6th tier	More than 150% of NMW

The family fee is further reduced by 20% if more than one child from the same household uses the same facility, or by 25% if meals are not provided by the establishment or the child does not benefit from them, or if justified absent periods exceed 15 consecutive days.

The institutions may reduce, suspend or excuse the payment of the family fee in special cases on a discretionary basis when a careful socio-economic analysis of the household condition concludes that the household cannot afford those fees.

5.3. Child-care benefits for formal centre-based care

Variable name: `[cc_benefit]`

There are no special childcare benefits in Portugal.

5.3.1. Eligibility

5.3.2. Benefit amount

5.3.3. Benefit duration

5.3.4. Means test

5.3.5. Tax treatment

5.3.6. Interaction with other benefits

5.3.7. Combining benefit receipt and employment/starting a new job

5.4. Child care allowance for children not using child care centers

None.

5.5. Tax concessions for childcare expenditures

Variable name: **[cc_ded]**

Childcare fees for crèches and kindergartens are considered as educational/training expenses for tax purposes.

5.5.1. Eligibility

All families paying childcare fees for crèches or kindergartens.

5.5.2. Maximum amount

Tax credit of 30% of household educational expenses up to a limit of EUR 800.

5.5.3. Variation by income

None, though as tax credit is not refundable it is worth less to lower-income families.

5.5.4. Impact on overall income tax calculation

The amount of the credit is deducted from the family's overall income tax liability, but it is non-refundable.

6. In-work benefits

Variable name: **[IW]**

There are no employment-conditional benefits in Portugal.

6.1.1. *Eligibility conditions*

6.1.2. *Benefit amount*

6.1.3. *Benefit duration*

6.1.4. *Means test*

6.1.5. *Tax treatment*

6.1.6. *Interaction with other components of the tax-benefit system* 

7. Social security contributions and payroll taxes

7.1. Social security contributions

Variable names: `[SOCSEC_p; SOCSEC_s; SSCR_p; SSCR_s]`

In 2019, employee social insurance contributions in Portugal are 11% of gross earnings, with no ceiling.

The employer's rate of social security contributions is 23.75 per cent of gross pay, with no ceiling.

The contribution rate of self-employed persons and their spouses or partners helping in the business is 21,4% A higher rate of 25,2% applies to the self-employed engaged in commercial or industrial activities and those assisting their spouse or partner in the business.

Contracting entities must pay social security contributions of 10% of turnover (when they comprise more than 80% of a self-employed worker's activity) or 7% (when the activity of the self-employed worker for the contracting entity represents between 30 and 50% of their total activity). (Note that the situation of self-employed workers is not simulated in the TaxBEN model, however).

Special rates apply to certain groups (though none of these situations are simulated in the TaxBEN model):

- Workers who have concluded pre-retirement agreements establishing the suspension or reduction of work: 8.6% employee, 18.3% employer.
- Active Workers aged 65 years or more with a 40 year insurance period: 8% employee, 17.3% employer.
- Disability pensioners: 8.9% employee, 19.3% employer.
- Old age pensioners: 7.5% employee, 16.4% employer.
- Workers with a disability: 11% employee, 11.9% employer.

8. Taxes

In Portugal, the standard rule is individual taxation. However, families may opt for joint taxation, and this is generally more favourable (this option is assumed in the TaxBEN model). Income includes the income of any dependent children. Tax is computed on total

net income after the deductions for each specific category of income and standard and non-standard reliefs.

8.1. *Personal income tax*

Variable name: **[IT]**

8.1.1. *Tax allowances*

The amount of the standard deduction is €4,104. If employee social security contributions exceed this amount, the deduction is equal to the amount of those contributions.

A deduction is provided for trade union dues excluding those related to benefits such as health care, education, assistance for the elderly, housing, insurance or social security, up to a maximum of 1% of the taxpayer's gross income increased by 50%. (Note that this is not simulated in the TaxBEN model).

8.1.2. *Tax base*

All benefits considered in the TaxBEN model are not taxable. The tax base is calculated as employment income minus tax allowances. To determine taxable income, to which the rates listed in the tax schedule are applied (see Section 7.1.3 below), income is divided by the marital quotient (1 for single people, 2 for a married couple).

8.1.3. *Income tax schedule*

Taxable income (EUR) (R)	Marginal tax rate (%) (T)	Amount to deduct (EUR) (K)
Up to 7 091	14.50	---
Over 7 091 up to 10 700	23	602.74
Over 10700 up to 20 261	28.50	1191.23
Over 20 261 up to 25000	35.00	2508.11
Over 25 000 up to 36 856	37.00	3008.25
Over 36 856 up to 80640	45.00	5956.67
Over 80 640	48.00	8376.08

The amount of tax payable is then multiplied by the marital quotient (1 for single people, 2 for married couples).

For taxpayers whose income stems primarily from dependent employment and pensions (earned income) and certain types of self-employment, disposable income after tax may not be less than 1.5 times the Social Benefits Index per taxpayer in 2018. No income tax is payable if income after tax would otherwise be less than this amount.

For residents in the Autonomous Regions of the Azores and Madeira, reduced tax rates are applicable (these situations are not simulated in the TaxBEN model).

An additional solidarity tax rate surtax was introduced by the 2012 State Budget. In 2019, the surtax tax rate was 2.5% applicable to taxable income between EUR 80 000 and EUR 250 000 and 5% for taxable income above EUR 250 000.

8.1.4. Tax credits

Basic credits:

- EUR 600 for each dependent child. This tax credit is increased by 126 euros for dependent children whose age does not exceed 3 years old.
- EUR 525 for each ascendant whose income does not exceed the minimum pension benefit. When there is only one ascendant, the tax credit increases by EUR 110. (Note that this credit is not simulated in the TaxBEN model).
- A deduction of 4 times the ISA is provided for handicapped taxpayers and a deduction of 2.5 times the ISA⁹ is provided for handicapped dependents or ascendants. (Note that this credit is not simulated in the TaxBEN model).

Other tax credits:

- 35% of household general expenses up to a limit of 250 euros, per taxpayer; this limit is increased to 45% and 335 euros, respectively, for single parents. (Note that this credit is not simulated in the TaxBEN model).
- 15% of VAT paid for certain services (restaurants, lodging, hairdressers, veterinarians and auto-repair) and 100% of VAT paid for social passes, up to a limit of EUR 250. (Note that this credit is not simulated in the TaxBEN model).
- 15% of non-reimbursed health care costs, not covered by Social Security, up to a limit of EUR 1000. (Note that this credit is not simulated in the TaxBEN model).
- Expenditures for educating the taxpayer or the taxpayer's dependants: 30% of outlays, up to 800 euros. This amount can be increased up to EUR 1000 if the difference is related to leasing accommodation for a student, with the maximum deductible limit still EUR 300 (note that this option is not simulated in the TaxBEN model).
- 25% of the Cost of sanatoriums or retirement homes for taxpayers, their ascendants and other family members up to the third collateral degree whose income does not exceed the national minimum wage up to a maximum EUR 403.75. (Note that this credit is not simulated in the TaxBEN model).
- 15% of mortgage interest on a primary residence up to a maximum of € 296, and 15% of rent paid for the primary residence up to € 502. These limits are increased for taxpayers in the first tax rate bracket to € 450 and €800, respectively, and for taxpayers with income above the first rate bracket upper limit and below €30 000, according, respectively, to the formulas below:

$$296 + \left[(450 - 296) * \left(\frac{30000 - \text{liable income}}{30000 - 7091} \right) \right]$$

$$502 + \left[(800 - 502) * \left(\frac{30000 - \text{liable income}}{30000 - 7091} \right) \right]$$

(Note that this credit is not simulated in the TaxBEN model).

⁹ The 2011 State Budget stated that the amount to consider should be of € 475 (the highest monthly minimum wage for 2010) until the ISA reaches this value.

- 20% of alimony payments compulsory under court order or court-approved agreement. (Note that this credit is not simulated in the TaxBEN model).
- 30% of education expenditures and 25% of life insurance premiums, up to a limit of 15% of the tax liability, for handicapped taxpayers or dependents. (Note that this credit is not simulated in the TaxBEN model).

Tax credits from tax benefits:

- Individual Retirement Savings Plans (PPRs): 20% of amounts invested, for unmarried taxpayers or for each spouse, up to:
 - EUR 400 for taxpayers under 35;
 - EUR 350 for taxpayers over 35 and under 50;
 - EUR 300 for taxpayers over 50.
- Social Security Individual Accounts: 20% of amounts invested, for unmarried taxpayers or for each spouse, up to a limit of EUR 350.
- 25% of certain charitable donations, limited in certain cases to 15% of the donor's tax liability.

However, the total of tax credits related to health care costs, education and training, alimony, retirement homes, VAT paid, house expenses and tax benefits cannot exceed the values of the following amounts:

Taxable income (EUR)	Limit
Up to 7 091	No limit
Between 7035 and 80640	$1000 + \left[(2500 - 1000) * \left(\frac{80640 - liable\ income}{80640 - 7091} \right) \right]$
Over 80 640	EUR 1000

These limits are increased by 5% for each dependent in households with three or more dependents.

9. Selected output from the OECD tax-benefit model (TaxBEN)

This section shows selected output of the TaxBEN model for Portugal in 2019 (Figure 5). TaxBEN by default produces the following output: 1) net household incomes (**black lines**) and 2) related income components (**coloured stacked areas**) for selected family and individual circumstances (e.g. a lone parent working at different earnings levels with two children aged 4 and 6 respectively – users are free to select many of these circumstances). The model and the related web calculator is accessible from the [project website](#). Figure 5 shows outputs for four scenarios:

- By gross earnings (**Panel A**);
- By unemployment duration (in months) for a jobseeker claiming unemployment benefits (**Panel B**);
- By previous gross earnings levels for a jobseeker claiming unemployment benefits (**Panel C**);

- By previous employment record, for a jobseeker claiming unemployment benefits (**Panel D**).

The stacked areas shows the following household income components: **GROSS** = gross earnings; **SSC** = social security contributions; **IT** = income tax; **FB** = family benefits; **HB** = Housing benefits; **SA** = social assistance / Guaranteed minimum income benefits; **IW** = in-work benefit. Note that these components may be the result of the aggregation of more than one benefit into a single component. Please refer to the table of content to see the benefits included in each category.

Results in Figure 5 refer to a 2-adult family with two children. Adults are both 40 years old whereas children are 4 and 6 years old respectively. Social assistance and housing benefits are assumed to be available in all the four scenarios when the necessary income and eligibility requirements are met. Where receipt of social assistance or other benefits is subject to activity tests (such as active job-search or being available for work), these requirements are assumed to be met.

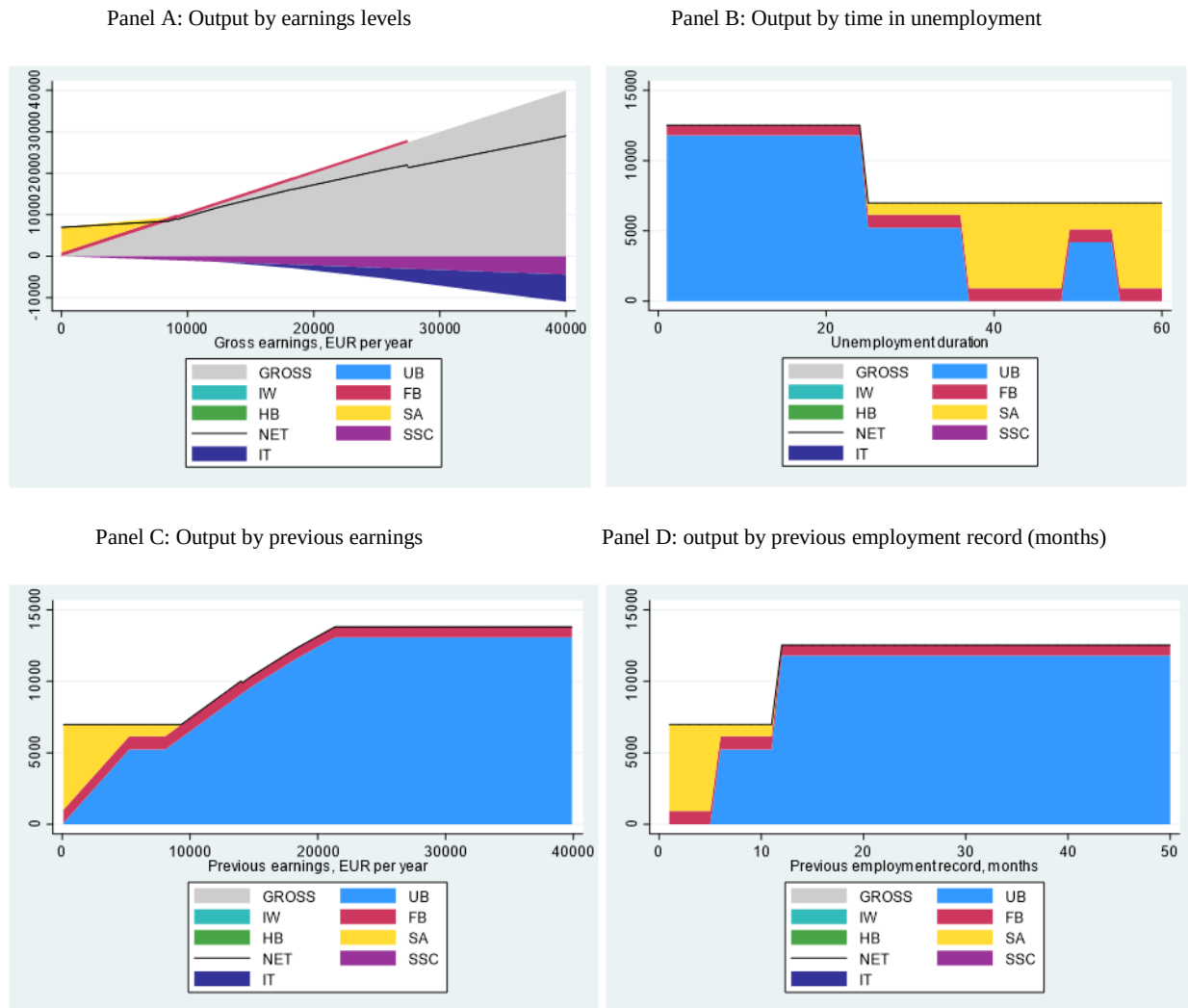
Panel A assumes that one adult family member (so-called ‘spouse’ using the TaxBEN terminology) is out of work and not eligible for unemployment benefits (e.g. because they have expired) whereas the other adult member (so-called ‘principal’) is employed full-time and full-year at different earnings levels. When earnings of the first adult are zero this person is assumed to be out of work but not receiving unemployment benefits (again, e.g. because they have expired), instead claiming social assistance or guaranteed minimum income benefits, as applicable.

Panels B to D assume that the second adult is out of work and not eligible to unemployment benefits whereas the first adult is also out of work and claiming unemployment benefits. In Panel B and C the first adult is assumed to have a ‘long’ employment record of 264 consecutive months before the job loss. The horizontal axis in Panel B measures the time of benefit receipt, starting from the first month. The horizontal axis in Panel C shows the amount of previous gross earnings (before any social contribution payments). Results in Panels C and D refer to the 2nd month of unemployment benefit receipt whereas Panel D consider the case of previous earnings equal to the average Wage. Previous earnings in Panel B are also equal to the average wage.

TaxBEN assumes the following logical sequence of benefit claims: 1) Unemployment Insurance (Section 2.1), 2) Unemployment Assistance (Section 2.2), 3) Social Assistance (Section 3.1), 4) Family Benefit (Section 4.1).

Figure 5. Selected output from the OECD tax-benefit model

Couple with two children.



Source: Calculations based on the OECD tax-benefit model.

Annex: Other benefits and direct taxes

This section provides a brief description of other cash benefits and taxes on employment incomes in Portugal that are relevant for some members of the population below the statutory retirement age, but which are not included in the OECD tax-benefit model.

Rent subsidy

During much of the twentieth century, the values of rents were not updated in Portugal. Thus, rents that have never been updated still persist, which, combined with inflation and the socioeconomic development of the country, means that rents had almost nominal values. In order to allow the gradual updating of rents, the urban rental scheme was reformed in 2006. However, in order to guarantee the financial capacity of the most vulnerable households, in particular the elderly, to continue to pay their rents after any increase in prices, it was established that rent subsidies were granted to tenants with rental contracts for housing purposes that began prior to November 18 1990, and which were, at that date, in a process of gradual updating of rental price. The rent subsidy is set equal to the difference between the actual rent, up to a maximum that varies by household size, and a base rent that depends on household income.

Porta 65 – Jovem programme

This programme supports young people aged 18-30 with their housing costs for up to 36 months. There is an income limit for eligibility, and there is a maximum amount of rent that can be supported.

Scholarships

Students aged under 18 enrolled in upper secondary school who benefit from the family allowance at the first or second income level are also entitled to a scholarship equal to the value of the family allowance.

Parental leave benefits (Proteção Social na Maternidade, Paternidade e Adoção)

Parents with registered remuneration in the compulsory social insurance scheme are entitled to receive parental leave benefits.

The parental leave scheme includes the following situations:

- Medical risk during pregnancy
- Pregnancy interruption
- Parenting
- Adoption
- Specific risks
- Child assistance in case of illness or accident
- Disabled or chronically ill child assistance

- Grandchild assistance

6 months of social security contributions are required to qualify for these benefits. The benefit amount is related to previous earnings, and is time limited in each case.

Social parental benefits

Parents without the necessary contribution record and in a situation of economic hardship are protected by the social parental protection scheme. The benefits give almost all parents access to a means-tested parental protection scheme independent of their working condition.

The social parental benefits include the following situations:

- Social benefit for medical risk during pregnancy
- Social benefit for pregnancy interruption
- Social parental benefit
- Social benefit for adoption
- Social benefit for specific risks

In each case, the benefit amount is linked to the IAS and the benefits are means-tested and time-limited.

Social Benefit for Inclusion:

This is a new social benefit in force since October 2017 intended for people over 18 years and under the normal retirement age (66 years and 5 months in 2019) with a degree of disability of 60% or more. It replaced a set of social benefits (the lifelong monthly allowance, the social invalidity pension and the invalidity pension for agricultural workers - transitional schemes) and is made up of three different components (a basic amount, a supplement and a top-up element) that will be implemented gradually. The maximum base amount is currently EUR 273,39 per month and the maximum supplement is EUR 438,22 per month.